

## Market Analysis and Security Analysis

FORECASTING SECURITY PRICES is not properly a part of security analysis. However, the two activities are generally thought to be closely allied, and they are frequently carried on by the same individuals and organizations. Endeavors to predict the course of prices have a variety of objectives and a still greater variety of techniques. Most emphasis is laid in Wall Street upon the science, or art, or pastime, of prophesying the immediate action of the “general market,” which is fairly represented by the various averages used in the financial press. Some of the services or experts confine their aim to predicting the longer term trend of the market, purporting to ignore day-to-day fluctuations and to consider the broader “swings” covering a period of, say, several months. A great deal of attention is given also to prophesying the market action of individual issues, as distinct from the market as a whole.

### **Market Analysis as a Substitute for or Adjunct to Security Analysis.**

Assuming that these activities are carried on with sufficient seriousness to represent more than mere guesses, we may refer to all or any of them by the designation of “market analysis.” In this chapter we wish to consider the extent to which market analysis may seriously be considered as a substitute for or a supplement to security analysis. The question is important. If, as many believe, one can dependably foretell the movements of stock prices without any reference to the underlying values, then it would be sensible to confine security analysis to the selection of fixed-value investments only. For, when it comes to the common-stock type of issue, it would manifestly be more profitable to master the technique of determining when to buy or sell, or of selecting the issues that are going to have the greatest or quickest advance, than to devote painstaking efforts to forming conclusions about intrinsic value. Many other people